



MAXIMUM EVs PERMITTED FOR IMPORT

Example 1	Example 2	Example 3
(a) Committed investment is \$500 million (₹4150 crore) (b) The CIF (Cost, Insurance & Freight) price of every EV is \$35,000 (c) Current import duty = 70%, proposed import duty = 15% Therefore, duty foregone = $(70\%-15\%) \times \\$35,000$ = \$19,250 (₹15,97,750), then; (d) Maximum number of vehicles allowed for import during the Scheme = ₹4150 crore (\$500 million) ÷ ₹15,97,750 (\$19,250) = 25,974 units	(a) Committed investment = \$781 million (₹6484 crore) (b) CIF of every EV = \$35,000 (c) Current import duty = 70%, proposed import duty = 15% Therefore, duty foregone = $(70\%-15\%) \times \\$35,000$ = \$19,250 (₹15,97,750), then; (d) Maximum number of vehicles allowed for import during the Scheme = ₹6484 crore (\$781 million) ÷ ₹15,97,750 (\$19,250) = 40,582 units	(a) Committed investment = \$500 million (₹4150 crore) (b) CIF of every EV = \$50,000 (c) Current import duty = 100%, proposed import duty = 15% Therefore, duty foregone = $(100\%-15\%) \times \\$50,000$ = \$42,500 (₹35,27,500), then; (d) Maximum number of vehicles allowed for import during the Scheme = ₹4150 crore (\$500 million) ÷ ₹35,27,500 (\$42,500) = 11,764 units

Note: If the EVs are imported at varying CIF prices, then the number of vehicles shall be limited by the quantum of the total duty foregone, which is limited to the amount as above.

policy is a step in the right direction and would aid in increasing EV components localisation in India, which is currently at 30-40%. Chassis components that require minimal technology upgradation are manufactured locally. There has been substantial localisation in traction motors, control units, and battery management systems over the years, while battery cells, which constitute 35-40% of the vehicle cost, are still entirely imported."

Further, countries that have been frontrunners in EV adoption have also developed a local vendor ecosystem and, accordingly, the industry also sees this policy as a potential opportunity for going global. EV OEMs applying for the policy benefits will have to achieve a 25% localisation level by the end of three years and 50% by the end of five. Enabling the same would only be possible either by tying up with Indian suppliers or bringing their components ecosystem here. It is the India components ecosystem that will benefit in both these scenarios.

Dewan adds, "This scheme gives rise to manufacturing opportunities for domestic auto component suppliers. For parts that are already used in ICE, there could be technological advancements in certain cases, re-

sulting in higher content per vehicle. The e-PV component market is expected to be at least ₹50,000 crore in terms of revenue potential for ancillaries."

Shradha Suri Marwah, President of ACMA & CMD Subros Ltd, says, "The policy not only aims to attract global EV majors to invest in India but also emphasises a significant domestic value addition criteria, ensuring the creation of a robust supply-side ecosystem."

The Automotive Component Manufacturers Association (ACMA) of India recently released a report titled 'Auto Electronics Manufacturing: Conquering the Next Frontier.' Conducted along with Grant Thornton, the report identifies electronic automotive components as a market opportunity worth \$540-650 billion by 2032.

Products like reverse parking guides, DC-DC converters, charger systems, tyre pressure monitoring systems, controllers, telematics units, navigation systems, electronic power steering, power distribution modules, thermal management systems, and engine control systems are highlighted for their high potential and ease of manufacturing. Coupled with nine more products, these are projected to grow from a

current \$9.3 billion opportunity to \$56.4 billion in 2032. It is expected that a lot of these products will be the low-hanging fruits for OEMs to achieve their localisation targets set by the policy.

N.K. Minda, CMD, Uno Minda, believes, "By incentivising indigenous manufacturers to make in India and attracting investments from global EV giants, the policy takes a holistic approach to enhancing the automotive and EV ecosystem."

At the same time, Indian EV OEMs might get a chance to work with Tier 1 components and solutions companies who have otherwise been only working with the likes of Tesla and BYD. According to the analyst, "In the longer run, this can be a threat to the existing component ecosystem in the country."

Collaborations in the making

The policy also offers some India-headquartered vehicle OEMs opportunities for collaborating with the top-selling electric car brands of the world. Though India's automobile sector has been a witness to many such collaborations in the past, a lot of these have ended on a bad note.

Clause 2.14 of the policy reads, "Group Company(ies) shall mean two or more enterprises which, directly